In June 2017, the Union Minister in charge of the Ministry of Statistics and Planning, Sadananda Gowda, had announced that the base year of National Accounts Statistics was once again going to be revised to 2017–18.

In a press conference, Gowda explained, 'The changes are being made in order to accommodate and factor the changes that take place in the economic scenario of the country… The ministry will undertake various steps in the next fiscal beginning April that will improve the statistical system that will help meet the data requirements in the emerging socio-economic scenario.'

The average citizen could be forgiven for wondering if all of these changes in calculation methodologies and base years were being done to obfuscate the data on the Modi government's performance, particularly the impact of demonetization. The multiple changes made in the methodology – from economic growth and inflation to jobs and taxes – sparked a countrywide debate on the volatility in the Statistics Ministry's estimates of GDP and the credibility of government data.

So, it was not much of a surprise that in April 2018, the RBI itself switched back to GDP as a measure to project its growth estimates instead of the GVA methodology.

In a remarkably candid research paper[8] in May 2018, four RBI researchers, working under Monetary Policy Committee member Michael Patra, stated, '*In view of multiple rounds of data revision, it may be confusing for data users to decide on the true state of the economy*, and, more specifically, the real strength of the growth momentum.' They went on to suggest that 'It may be advisable for data users to read GDP growth numbers carefully along with other high frequency indicators of the real economy.'

Keeping the above caveats in mind, let us look at the GDP data released by the RBI and CSO for the Financial Year (FY) 2016–17, from which the impact of demonetization on economic growth can best be judged: